

## 3.2 How the economy works

Students are introduced to the wider economy from the perspective of the main economic groups: consumers, producers and government. Students explore the significance of interest rates including their impact on saving, borrowing and spending.

The core of this unit will focus on government objectives and their role in managing the economy. A range of policies will be explored in relation to the objectives, highlighting the fact that pursuing one objective can have a detrimental effect on other objectives.

Students also examine why countries trade, and the significance of the global economy, including free-trade agreements. Finally, students will explore the role of money and the significance of the financial markets in modern economies.

Students should be encouraged to explore the moral, ethical and sustainability issues that underpin all aspects of managing an economy.